

Fund Managers Are Good Buyers but Terrible Sellers

MONEY MANAGERS KNOW how to buy. What they need to do is to learn how to sell. Most of them are terrible at it.

That is the stunning conclusion of a research paper published in 2019.^{[224](#)} If you manage money—or have your own money invested in managed accounts—its findings are essential. It goes far beyond the usual underperformance critiques of active management in an attempt to decipher why fund managers are so bad at this critical aspect of investing.

The paper's authors make numerous observations about institutional managers, but the most profound and alarming is this: Fund managers would be better off, and in some cases much better off, *selling holdings completely at random*.

The study did find money managers exhibited skill in picking which stocks to buy, but:

While investors display clear skill in buying, their selling decisions *underperform substantially*—even relative to strategies involving no skill such as randomly selling existing positions—in terms of both benchmark-adjusted and risk-adjusted returns.

There is an asymmetry between buying and selling. Purchase decisions are forward-looking, conducive to an analytical process that seem to be consistent and quantifiable. Where problems arise is in the decisions about what to sell and when.

Selling stock in a portfolio is backward-looking; the retrospective nature seems to be susceptible to the kinds of behavioral biases and cognitive errors we typically think of as common among non-professional investors. The study found that professionals were just as likely to suffer from these behavioral errors as the amateurs.^{[225](#)}